world now. There is also a big difference in the digital capabilities of advanced nations and technically lagging nations. The advent of digital technologies has crushed the right of labour to unite and replaced traditional employer-employee relationships with gig and contract work. The social agenda in the SDGs is defined more in terms of what human beings deserve to get, not how they should earn or get resource transfers. The social agenda requires clearer definition and understanding.

Corporations had introduced enormous governance problems. These have been increased manifold by technological takeover of the governance system. Governance would need to be thought through quite differently.

In its meeting on 7 June 2021, the G-7 accorded primacy to the climate standards agenda to become part of the mainstream financial statement. It emphasized ‘the need to green the global financial system so that financial decisions take climate considerations into account’.

The G-7 tasked the International Financial Reporting Standards Foundation (IFRS) ‘to develop the baseline standard under robust governance and public oversight’.

IFRS has set up an International Sustainability Standards Board (ISSB) to take care of the expected standards on climate change.

Developing Key Environmental Standards in Financial Terms

There are two key environmental concerns embedded in the ESG agenda: bring down carbon emissions to net zero; and stop pollution of air, water and other natural resources.

When translated in the context of businesses, they can be legitimately expected and bound to make no net carbon emissions and discharge no pollutants in the process of production and distribution of goods and services.

From a carbon perspective, there can be three potential situations that a business can find itself in. First, it generates no carbon emission or reduces